

Project Presentations (Block 2)

- Work in small groups of 2–3 people.
- Forecasting exercise: apply methods from class to Swiss data.
- Goals:
 - Design, implement, and critically assess multivariate forecasting models.
 - Gain experience presenting results to technical and policy audiences.
- Each project focuses on one specific forecasting technique.
- Tasks:
 - Understand method and communicate the idea behind.
 - Apply it to Swiss data (know your data).
 - Present and defend your results.

Project Presentations (Reproducibility)

- Reproducibility is essential in both academic research and policy forecasting.
- All code must be made publicly available in our GitHub repository (see project descriptions PDF).
- Each team member must contribute:
 - At least two meaningful commits per person.
 - Demonstrating shared responsibility for the project.
- Deliverables:
 - Slides and reproducible code in the GitHub repo.

Structure of a Good Project Presentation

- **Motivation & Question:** why does this forecast matter?
- **Methodology:** chosen model and estimation approach
- **Data:** variables, frequency, sample period
- **Results & Forecast Evaluation:** forecasts and assessment (details on next slide)
- **Interpretation:** economic meaning and intuition
- **Takeaways:** main findings and policy relevance
- **Reproducibility:** GitHub repository with code & data

30–45 minutes, focus on clarity and communication – not on every technical detail.

Forecast Expectations

- Each project should present at least:
 - A one-step and one-year ahead **point forecast** for GDP growth, inflation, and exchange rate.
 - One of the following three extensions
 - ▶ Scenario forecast (e.g., conditional on oil prices, exchange rates, or policy).
 - ▶ Density forecast (e.g., fan chart).
 - ▶ Macroeconomic indicator (e.g., diffusion index).
- Forecast evaluation:
 - Root mean squared errors (RMSE) or mean absolute error (MAE).
 - All models should be compared against an AR(2) benchmark.

Goal: show forecasts, assess their quality, and discuss what we learn from them.

Performance Assessment

- **Project Presentation (60% of grade)**
 - Group work (2–3 students), reproducibility via Git.
 - Evaluation: methods, results, communication, teamwork.
 - Heavier weight: reflects that the **core skills of the course** are hands-on implementation and communication of forecasts.
- **Final Exam (40% of grade)**
 - Duration: 60 minutes.
 - Format: mix of theory questions and short R-based tasks.
 - Focus: individual understanding and interpretation of results.

Project Presentations (Evaluation Criteria)

- Modeling and implementation in R (25%) Correct application of methods.
- Clarity of communication (25%) Well-structured slides; clear delivery; appropriate for both technical and policy audiences.
- Forecast evaluation (20%) Forecast accuracy; comparison with benchmark model.
- Design of extension and economic interpretation (15%) Linking forecasts to policy-relevant questions.
- Reproducibility and teamwork (15%) Public Git repository; meaningful contributions from all members.